# EU business customers charged VAT – status and next steps (27.10.2026)

**Status 27.10.2026: investigation open, nothing changed yet.** Owner: Hamza, report to Patricia.

> Shopify store iqdogsport.myshopify.com (Grow plan, no Shopify Plus checkout customization) · orders synced to Odoo 19 via Emipro.

## 1. Problem

EU business customers (outside Germany) who enter a valid VAT ID are charged the **gross** price including German VAT, although an intra-EU B2B delivery should be invoiced net (reverse charge, §4 Nr. 1b UStG).

## 2. Where we stand

- Task: find the cause in Shopify (tax settings / VAT ID collection / B2B handling) and list the affected orders since 1 April 2026.
- No setting has been changed. Topic was not part of the DHL / Shopify-link work on 26.–27.10.

## 3. What to check in Shopify (read only)

1. **Settings → Taxes and duties → European Union:** is "Collect VAT" set up for Germany / OSS, and is the option to *not charge VAT for businesses with a valid VAT number* available/enabled for the store?
2. **Checkout:** where does the customer enter the VAT ID (company/VAT field, app, customer account)? Does Shopify validate it (VIES)?
3. **Customers:** open an affected customer – is "Collect tax" / tax exemption set? Shopify only drops VAT when the customer or the checkout VAT number is recognised as tax-exempt.
4. **Markets:** are prices shown including tax ("Dynamic tax-inclusive pricing")? This changes how net prices look for EU customers.
5. **Apps:** any VAT/B2B app (e.g. VAT validation) installed – what does it do, is it still active?

## 4. Affected orders since 1 April 2026 (Odoo, read only)

Orders from EU countries except Germany where the customer has a VAT ID but tax was charged:

```
PGOPTIONS='-c default_transaction_read_only=on' psql -P pager=off -c "SELECT so.name, so.date_order::date, c.code AS country, p.vat, so.amount_untaxed, so.amount_tax, so.amount_total FROM sale_order so JOIN res_partner p ON p.id = so.partner_invoice_id LEFT JOIN res_country c ON c.id = coalesce(p.country_id, (SELECT country_id FROM res_partner WHERE id = p.commercial_partner_id)) WHERE so.name LIKE '#IQD-%' AND so.date_order >= '2026-04-01' AND coalesce(p.vat, '') <> '' AND c.code IN ('AT','BE','BG','HR','CY','CZ','DK','EE','FI','FR','GR','HU','IE','IT','LV','LT','LU','MT','NL','PL','PT','RO','SK','SI','ES','SE') AND so.amount_tax > 0 AND so.state <> 'cancel' ORDER BY so.date_order;"
```

If the VAT ID is stored on the company contact and not the invoice address, also run the query with `p.commercial_partner_id`. Export the result for Patricia (order, date, country, VAT ID, net, tax, total).

## 5. Next steps

1. Run query 4 → list for Patricia.
2. Screenshots of the Shopify settings in section 3 → identify the cause.
3. Write the cause and 1–2 solution options (Shopify setting, VAT app, manual credit note process) for Patricia.
4. Decision with Patricia / tax advisor: correction of past orders (credit notes / corrected invoices) – Odoo invoices are the legal documents.
5. Test any change first in the Shopify test store (iq-dogsport-test) with an EU test customer and VAT ID.